

Downward Breakouts

	Bull Market	Bear Market
Reversal or continuation	Short-term bearish reversal	Short-term bearish reversal
Performance rank	36 (last) out of 36	19 (last) out of 19
Breakeven failure rate	51%	28%
Average drop	9%	17%
Volume trend	Downward	Downward
Pullbacks	72%	70%
Percentage meeting price target	32%	42%

I received an e-mail asking if the S&P 500 index was making a rising wedge. I pulled up the chart and, sure enough, the wedge was as plain as day and almost a year long. In my daily review of stock charts, I missed finding this one. That is the major problem with wedges, whether rising or falling. You cannot find them. Not only are they rare, but also their spiraling price action seems hidden in a historical price series. A few stand out and shout “rising wedge,” like the ones shown in the figures accompanying this chapter, but most remain hidden like a raindrop joining a pond.

The Results Snapshot gives you the bad news. Rising wedges are lousy performers. Downward breakouts rank dead last for performance, both in bull and bear markets. Can you imagine a pattern where half of them (51%) will fail to see price drop more than 5%? That's alarming.

Are there no redeeming qualities? Yes, there are. Downward breakouts that bust in bull markets might be worth a look. We'll discuss that later. But first, let's take a tour so we know what to avoid.

Tour

[**Figure 74.1**](#) shows an example of a rising wedge. Price started a slow climb, like stairs going up, in October. The minor highs bounced off a trendline drawn along the peaks connecting them. On the bottom, an up-